



Maccabe Portfolio Management Group

PRIVATE WEALTH · QUANTITATIVE STRATEGY

Investment Policy Statement

v1.0 · Adopted · Prepared May 27, 2026

1. Purpose and Scope

This Investment Policy Statement is the governing framework for a lifelong, equity-oriented, factor-diversified investment program across the TFSA and FHSA accounts of Justin Maccabe. It covers portfolio construction, implementation, leverage, monitoring, and rebalancing, and gets updated whenever facts, objectives, or constraints materially change.

The policy separates investment philosophy from implementation mechanics. The desired portfolio is derived first from theory: expected risk premia, diversification, and mean-variance analysis. Trading commissions, broker availability, ETF shelf constraints, and foreign exchange execution come after. Costs matter, but they constrain execution; they do not set the mandate.

A meaningful allocation is held through an externally-managed, cost-advantaged program accessed via the investor's employment, maintained as a long-term delegated core for manager diversification, access to pension-style (private) assets, and automated savings discipline. The philosophy, optimization, factor, leverage, and rebalancing provisions below govern the self-directed portfolio; this delegated allocation is treated as an exogenous core, reviewed annually, and liquidated if preferential access ends (e.g., a change of employment).

2. Investor Profile

Policy Area	Current Decision
Investor	Justin Maccabe
Life stage	Early career, with a 30+ year investment horizon.
Primary accounts	TFSA and FHSA treated as one integrated portfolio for policy and optimization purposes.
FHSA intent	Managed as long-term investment capital rather than as a near-term home-purchase reserve. The investor accepts the 15-year FHSA maturity constraint — the account must fund a qualifying home purchase or be transferred to an RRSP before it lapses — and forgoes the home-purchase optionality as a deliberate trade-off.
Other financial assets	No other meaningful financial assets currently identified.
Human capital	Employment income is sufficient to service planned LOC interest payments regardless of market conditions.
Knowledge base	Investor has formal finance training and is comfortable with mean-variance optimization, factor investing, leverage analysis, and mathematical finance concepts.

3. Investment Philosophy

The portfolio is grounded in the belief that diversified exposure to compensated equity risk premia can produce a portfolio with a higher expected Sharpe ratio than a simple market-cap-weighted equity benchmark. Where the diversified portfolio carries a higher expected Sharpe ratio than the market, modest external leverage on that portfolio is a better use of risk than concentrating in the market itself. Section 7 governs when and how much.

The portfolio is built from low-cost, rules-based, broadly diversified vehicles: indexing or systematic active strategies, not discretionary stock picking. Vehicle selection weighs factor purity, total cost, tax treatment, liquidity, and operational simplicity.

Belief	Policy Implication
Mean-variance optimization is useful.	Expected return, volatility, covariance, and Sharpe ratio will be estimated explicitly and compared across models.
Diversification has economic value.	The portfolio may allocate across geographies, capitalization segments, and factors even when doing so creates tracking error versus the S&P 500.
Factor premia may persist.	Value, size, momentum, quality/profitability, low-volatility/defensive, international, and emerging market exposures may be sought deliberately.
Estimation error is material.	Policy weights stay anchored to the market portfolio; return views enter at modest confidence rather than through raw historical means (Section 6).
Leverage can be rational.	LOC leverage may be used only under a formal policy framework with ongoing cost, yield, Sharpe, and drawdown monitoring.

4. Objectives

Return Objective

The primary return objective is to maximize long-term risk-adjusted real wealth accumulation over a 30+ year horizon, while targeting approximately market-like portfolio volatility after leverage. The portfolio is not designed to minimize short-term tracking error to the S&P 500 or to deliver stable calendar-year returns.

Risk Objective

The risk objective is a diversified global equity portfolio run at roughly market-like total risk, with leverage bounded by the balance-sheet limits in Section 7. Risk is measured by volatility, drawdown, leverage ratio, factor concentration, currency exposure, and benchmark-relative behaviour.

5. Permitted Investment Universe

The investable universe is global, CAD-listed and USD-listed. Broad market funds, factor funds, regional funds, and systematic active equity ETFs all qualify when they provide transparent exposure to the desired sources of return. Avantis funds get serious consideration for their systematic factor design, but the universe is not restricted to Avantis or to RBC Direct Investing commission-free products.

Exposure Category	Desired Role
Global market beta	Core equity exposure and baseline comparison against broad market-cap-weighted alternatives.
United States equity	Major developed-market equity exposure and primary reference-market comparison through the S&P 500.
Canadian equity	A deliberate home allocation of roughly 10% of equity, for currency alignment with future CAD spending and dividend-tax efficiency.
International developed equity	Geographic diversification, valuation diversification, and non-US currency exposure.
Emerging markets equity	Higher expected growth and diversification, with explicit recognition of governance, currency, and volatility risks.
Small-cap and value	Primary academic factor tilts where implementation quality and transaction-cost-aware design are critical.
Momentum	Complementary factor exposure with historically low correlation to value; implementation turnover must be evaluated carefully.
Quality/profitability	Exposure to profitable, resilient firms; may be embedded in multifactor strategies rather than held separately.
Low-volatility/defensive	Potential volatility reduction and diversification benefit; must be tested to ensure it improves total portfolio efficiency.
Cash or money market	Temporary staging vehicle for contributions or phased implementation, not a strategic return-seeking allocation unless separately approved.

6. Optimization Framework

Policy weights come from a Black-Litterman framework. The anchor is the global market-capitalization portfolio: the equilibrium prior, which requires no return forecasts. Views are taken from AQR's annual Capital Market Assumptions, with factor-sleeve views built from each vehicle's Fama-French five-factor plus momentum loadings, priced at premia calibrated to AQR's published long-only style estimates. Covariance is estimated from monthly return history with shrinkage.

The adopted view confidence is 35%, deliberately closer to the market prior than to the views. AQR's own error bands allow roughly $\pm 3\%$ per year over a decade, and policy weights should not swing on assumptions that uncertain. Confidence and view sources are revisited annually when AQR publishes updated assumptions; changing either is a documented policy change under Section 12.

Method	Role in Decision
Black-Litterman (AQR views)	Produces the policy target weights at the adopted confidence.

Method	Role in Decision
Market-cap prior	The no-views anchor, the zero-confidence limit of the framework, and the yardstick for total active risk.
Risk parity and minimum variance	Return-free cross-checks. Material disagreement with the Black-Litterman target triggers a robustness review before implementation.
Robustness review	The target must stay sensible under alternative confidences, covariance perturbations, and borrowing-cost stress.

6.1 Policy Portfolio

Adopted July 2026 from the framework above, using AQR year-end 2025 assumptions at 35% confidence, rounded:

Block	Policy Weight	Band
US broad equity	35%	±5pp
International developed broad	22%	±5pp
International developed value	16%	±5pp
Canada broad equity	11%	±4pp
Emerging markets broad	8%	±3pp
Emerging markets value	5%	±3pp
US small-cap value / large value	3%	±2pp

Weights apply to the self-directed marketable sleeve on a look-through basis; the delegated core (Section 1) is exogenous.

Implementation is deliberately staged. The first stage built the core: broad, cheap beta through XEQT and XUS, with low-cost multifactor exposure taken through AVGE rather than through direct sleeve positions. The second stage perfects the allocation over time: new contributions bleed into whichever sleeves sit furthest below target, and AVGE may be liquidated to seed a direct position in the sleeve it is most underweight — a switch that costs only commissions inside registered accounts. Being below the value-sleeve targets during this stage is part of the plan, not a breach. Trades beyond the AVGE conversion are a fallback, used only when two review cycles of contributions fail to close a band breach.

7. Leverage Policy

Leverage is employed through a personal line of credit at an expected rate of prevailing Canadian prime plus 0.50%. Its use is justified only while it improves the expected long-term wealth outcome after financing costs and remains serviceable from employment income without requiring forced asset sales during market stress.

Leverage is sized by balance-sheet limits rather than a volatility ratio. The unlevered portfolio already exhibits near-market volatility, so volatility-matching would prescribe no borrowing and does not describe practice. The target leverage factor is 1.25× equity, with a hard ceiling of 1.50×. New draws require a documented expected Sharpe advantage over the reference market, a current drawdown of less than 20% from peak, and comfortable interest serviceability from employment income. A position above target is corrected by directing contributions to assets rather than new draws, never by forced sales.

Leverage Control	Policy
Financing cost	Canadian prime + 0.50%, evaluated at the prevailing prime rate and updated as prime changes.
Sizing	Target 1.25× equity; hard ceiling 1.50×. No new draws above target, when drawdown from peak exceeds 20%, or without a documented expected Sharpe advantage.
Serviceability	Interest payments must be comfortably serviceable from employment income under adverse market conditions.
Yield and cost flag	If the estimated yield on the underlying portfolio is at or below the financing cost, the leverage position must be flagged for review.
Sharpe override	A yield-cost flag does not require automatic deleveraging if the portfolio's expected Sharpe ratio remains higher than the market's expected Sharpe ratio.
Forced sales	The strategy should avoid dependence on asset sales to service interest payments.
No automatic escalation	Leverage increases require explicit review and documentation rather than being treated as automatic after contributions or gains.

8. Risk Management and Review Triggers

Trigger	Required Response
Portfolio drawdown reaches 50% from peak	Mandatory strategy review — a governance checkpoint, not an automatic sell rule. Drawdown is measured from the peak of the recorded performance history.
LOC cost rises materially	Review leverage economics, financing alternatives, portfolio yield, expected excess return, and cash-flow coverage.
Underlying portfolio yield <= LOC cost	Flag for review and document whether expected Sharpe advantage remains intact.
Expected Sharpe advantage disappears	Reassess factor tilts, leverage, and benchmark alternatives before adding new leverage.
Major life change	Review time horizon, liquidity needs, employment risk, FHSA intent, and ability to service leverage.

Trigger	Required Response
Material product change	Review affected ETF if fees, index methodology, liquidity, tax treatment, or factor exposure changes materially.
Policy breach	Document the breach, assess whether it was intentional or accidental, and define corrective action.

9. Benchmarks

The S&P 500 is the primary reference benchmark because it is the investor's chosen opportunity-cost reference and a familiar measure of equity-market success. Because the policy portfolio is expected to be global and factor-diversified, performance should also be evaluated against a global equity benchmark such as MSCI ACWI or a practical Canadian all-equity proxy such as XEQT. Benchmark underperformance over multi-year periods may be acceptable if it is explained by intentional factor, geographic, or currency exposures that remain consistent with the IPS.

Benchmark	Use
S&P 500	Primary reference point for long-term opportunity cost and investor-facing performance comparison.
Global all-equity benchmark	Secondary benchmark for evaluating whether global diversification is adding or detracting in context.
Custom policy benchmark	Section 6.1 weights applied to plain index returns. Splits results into allocation (policy vs S&P 500) and implementation (actual vs policy); the second gap should sit near zero.

10. Rebalancing and Cash Flow Policy

The portfolio will be reviewed and rebalanced on a fixed schedule, with the exact cadence to be selected between quarterly and semi-annual rebalancing after implementation costs and account constraints are known. New capital may be invested as a lump sum or temporarily staged in a money market vehicle before being allocated into policy holdings. Staging affects implementation timing and cash drag, but it should not alter the target portfolio construction.

Area	Policy
Account integration	TFSA and FHSA are managed as one portfolio, with asset location handled as an implementation problem.
Contribution deployment	New capital should move toward the policy weights, considering FX, transaction cost, and account room.

Area	Policy
Rebalancing cadence	Quarterly or semi-annual fixed schedule; final selection pending implementation analysis.
Tolerance bands	Per Section 6.1, checked at each scheduled review.
FX conversion	Norbert's Gambit or other low-cost FX methods should be evaluated before large CAD-to-USD conversions at RBC Direct Investing.

11. Factor Exposure Reporting

Factor exposure is reported two ways: returns-based attribution (a Fama-French five-factor model plus momentum, estimated from each holding's return history and aggregated to the portfolio) and a holdings-based look-through that decomposes the fund-of-funds positions into their underlying regional and style building blocks. The two should broadly agree; where they diverge, the returns-based estimate is treated as the measurement and the look-through as the explanation.

Exposure	Reporting Intent
Market beta	Measure total equity exposure and levered effective exposure relative to invested capital.
Size	Estimate small-cap tilt relative to market-cap-weighted global equity.
Value	Estimate valuation tilt through metrics such as book-to-market, earnings yield, cash-flow yield, or composite provider scores.
Momentum	Estimate exposure through fund methodology and holdings characteristics where available.
Quality/profitability	Track profitability, balance sheet quality, and quality-screen methodology where relevant.
Low volatility	Track volatility and beta characteristics of holdings and total portfolio.
Geography and currency	Track US, Canada, developed ex-North America, emerging markets, CAD, USD, and other currency exposures.

12. Governance

Governance Item	Policy
Owner and reviewer	Justin Maccabe.
Formal IPS review	Annually reviewed by Justin Maccabe.

Governance Item	Policy
Extraordinary review	Required after major life changes, material financing changes, benchmark philosophy changes, or severe drawdowns.
Change standard	Changes to policy beliefs, leverage rules, benchmarks, or permitted universe should be documented with rationale.
Professional advice	This IPS is a personal governance document and should not be treated as legal, tax, or regulated investment advice.